

Econ 2 - Lecture 17 - 6/1/26

Week 10!

Advanced Study Tips
→ Write own questions

Discussion Activity #5 this week

↳ Crowd source an exam review with AI

↳ Need 3 of 5 activities for full credit

Lecture Quiz #9 Released on Wednesday

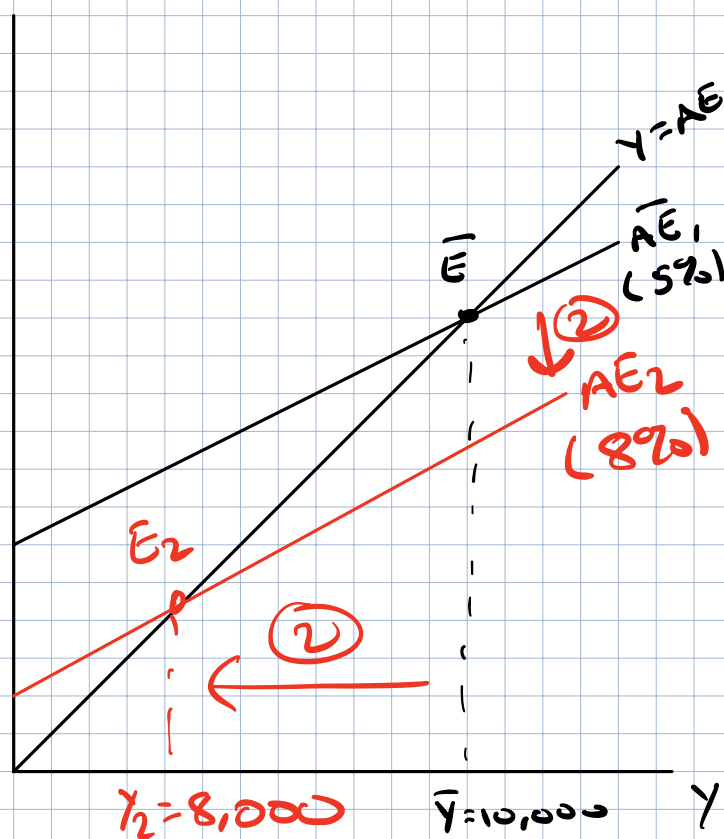
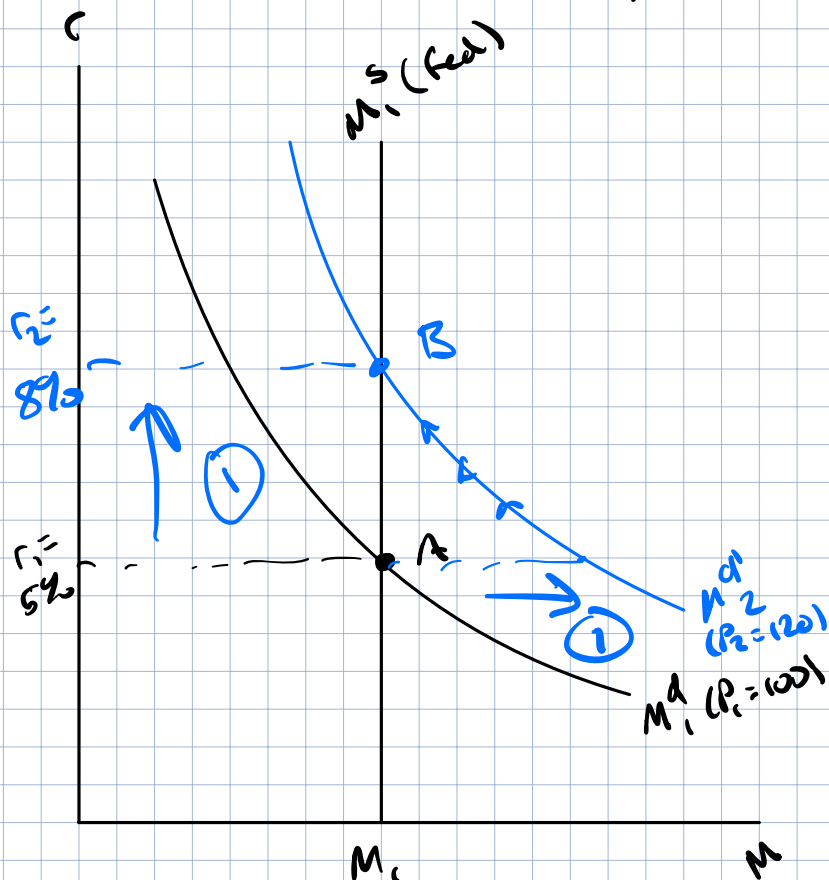
↳ Due Tuesday, June 9th at 12^{PM} (Final Exam)

Final Exam on Tuesday, June 9th, 12 - 2:30^{PM}

40 Questions → Questions uniformly distributed across topics
⇒ ~50% of questions familiar, ~50% new

Last Class: Money market and AE

Start at $\bar{Y} = 10,000$, $P_1 = 100$, $r_1 = 5\%$ → Prices rise to $P_2 = 120$



Why is inflation harmful?

Start at $P_1 = 100 \rightarrow P_2 = 120 \rightarrow$ Equilibrium interest rate?

1) $P_1 = 100$ to $P_2 = 120 \rightarrow M^d$ increase (M1)

$M^d_1 (P_1 = 100)$ shift right to $M^d_2 (P_2 = 120)$

Interest rate increases from r_1 to r_2

2) Interest rates $\uparrow$ ($r_2 > r_1$)

$\Rightarrow$ Decrease in AC , $I^P \Rightarrow$ Decrease in AE

$\hookrightarrow$ Decrease $\bar{Y}$ to Y_2

Summarize Inflation

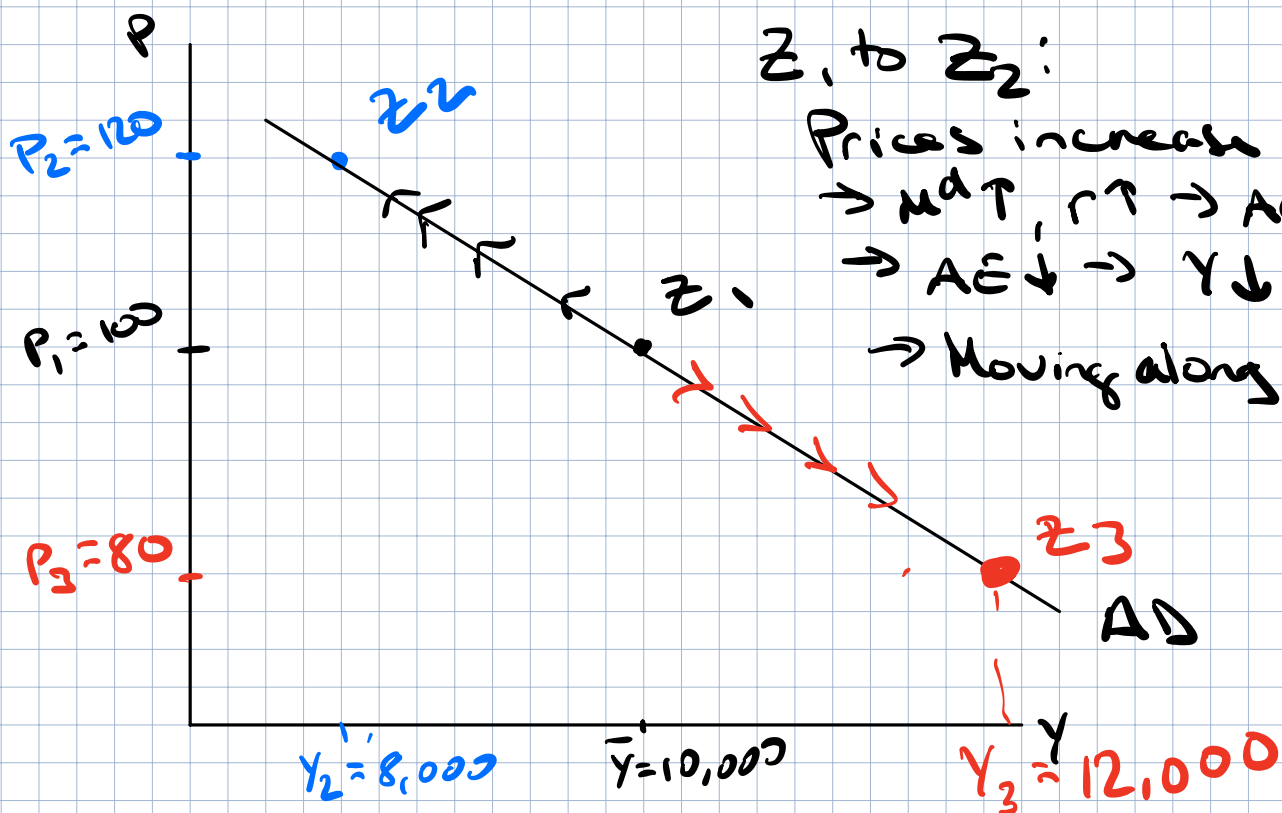
Started at $P_1 = 100$, $\bar{Y}_1 = 10,000$ ($Y = AE$)

$P_2 = 120$, $Y_2 = 8,000$ ($Y = AE$)

As price level increases:

equilibrium level of spending ($Y = AE$) decreases

Consolidate findings in money market $\rightarrow Y = AE$



Z_1 to Z_2 :

Prices increase ($100 \rightarrow 120$)

$\rightarrow M^d \uparrow$, $r \uparrow \rightarrow AC, I^P \downarrow$

$\rightarrow AE \downarrow \rightarrow Y \downarrow$

$\rightarrow$ Moving along curve

Z_1 represents equilibrium in Money market $\Rightarrow Y = AE$

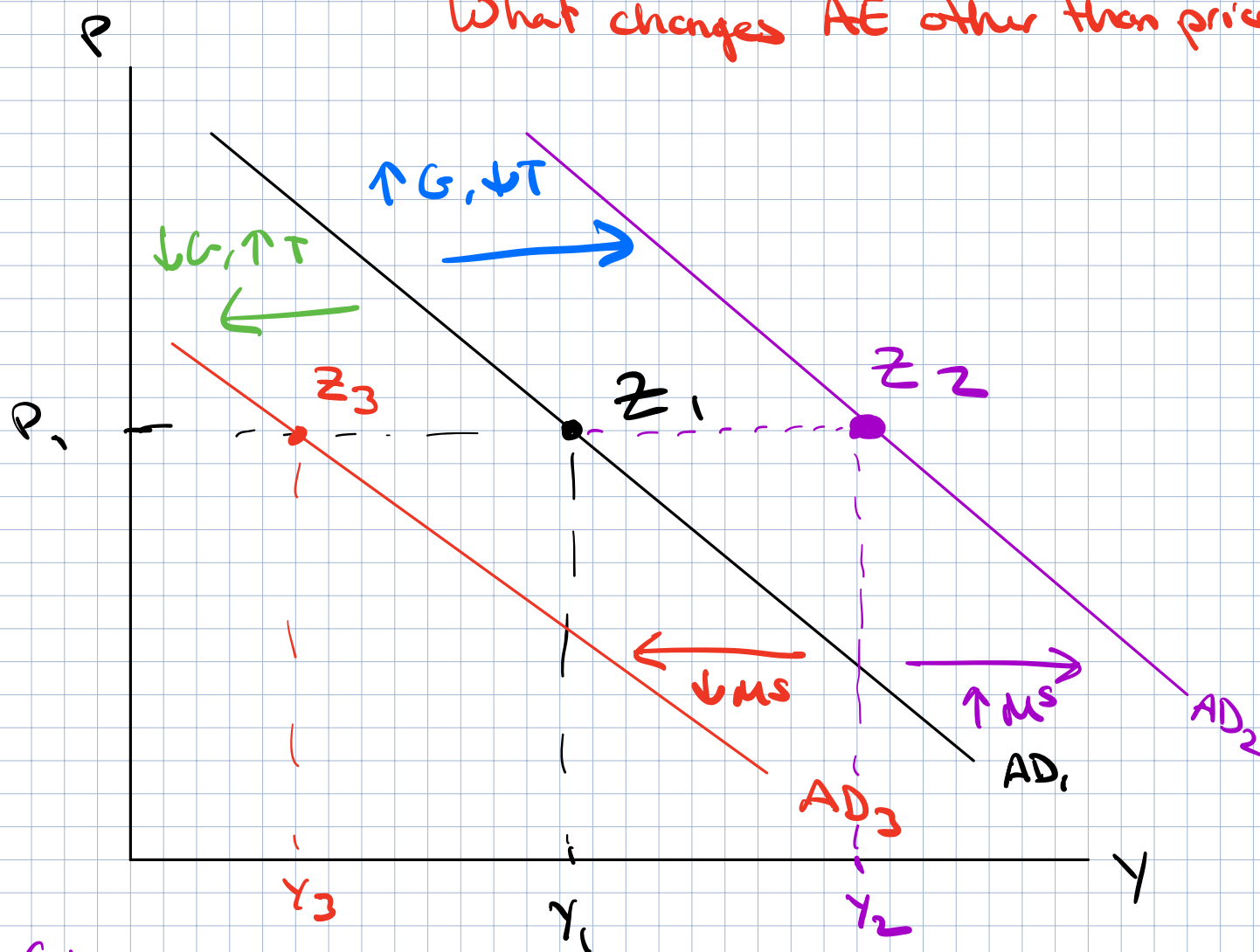
"Equilibrium level of spending at all prices" curve

Aggregate Demand Curve = AD

Prices vs. $Y = AE$

Redraw AD $\rightarrow$ What shifts AD curve?

What changes AE other than price?



Categories of AD Shifts

- 1) Monetary Policy $\rightarrow$ Buy/sell bonds $\rightarrow$ Increase/Decrease M^s
 - $\rightarrow M^s \uparrow$ (buy bonds) $\rightarrow r \downarrow \rightarrow AC, I^P, AET \rightarrow Y = AET \rightarrow Y_2$
 - $\rightarrow$ General level of prices are initially unchanged
 - $\rightarrow$ New AD must include $Z_2 (P_1, Y_2)$
 - $\rightarrow M^s \downarrow$ (sell bonds) $\rightarrow$ New AD must include $Z_3 (P_1, Y_3)$

2) Fiscal Policy $\Rightarrow \Delta G$ or ΔT

$\Rightarrow \uparrow G$ or $\downarrow T \Rightarrow \uparrow AE \Rightarrow Y = AE \uparrow \rightarrow Y_2$

$\Rightarrow$ Prices are initially unchanged

$\Rightarrow \downarrow G$ or $\uparrow T \Rightarrow \downarrow AE \Rightarrow Y_3 \rightarrow$ Price initially unchanged

3.) Word Cloud

$\Rightarrow$ Directly changes I^P , NX , AC

$\hookrightarrow$ Change AE , but not price initially

$\hookrightarrow$ Consumer confidence $\uparrow \rightarrow \uparrow$ in $AC \rightarrow \uparrow AD$

$\Rightarrow$ Housing Crash $\rightarrow \downarrow$ wealth $\rightarrow \downarrow$ in $AC \rightarrow \downarrow AD$

$\Rightarrow$ Covid Pandemic $\rightarrow$ Lockdown

$\downarrow$
 $\downarrow I^P, \downarrow AC, \downarrow NX \Rightarrow \downarrow AD$
 $\Rightarrow \downarrow AD$

Add other side of market prices & output

AD : Consumer spending & prices

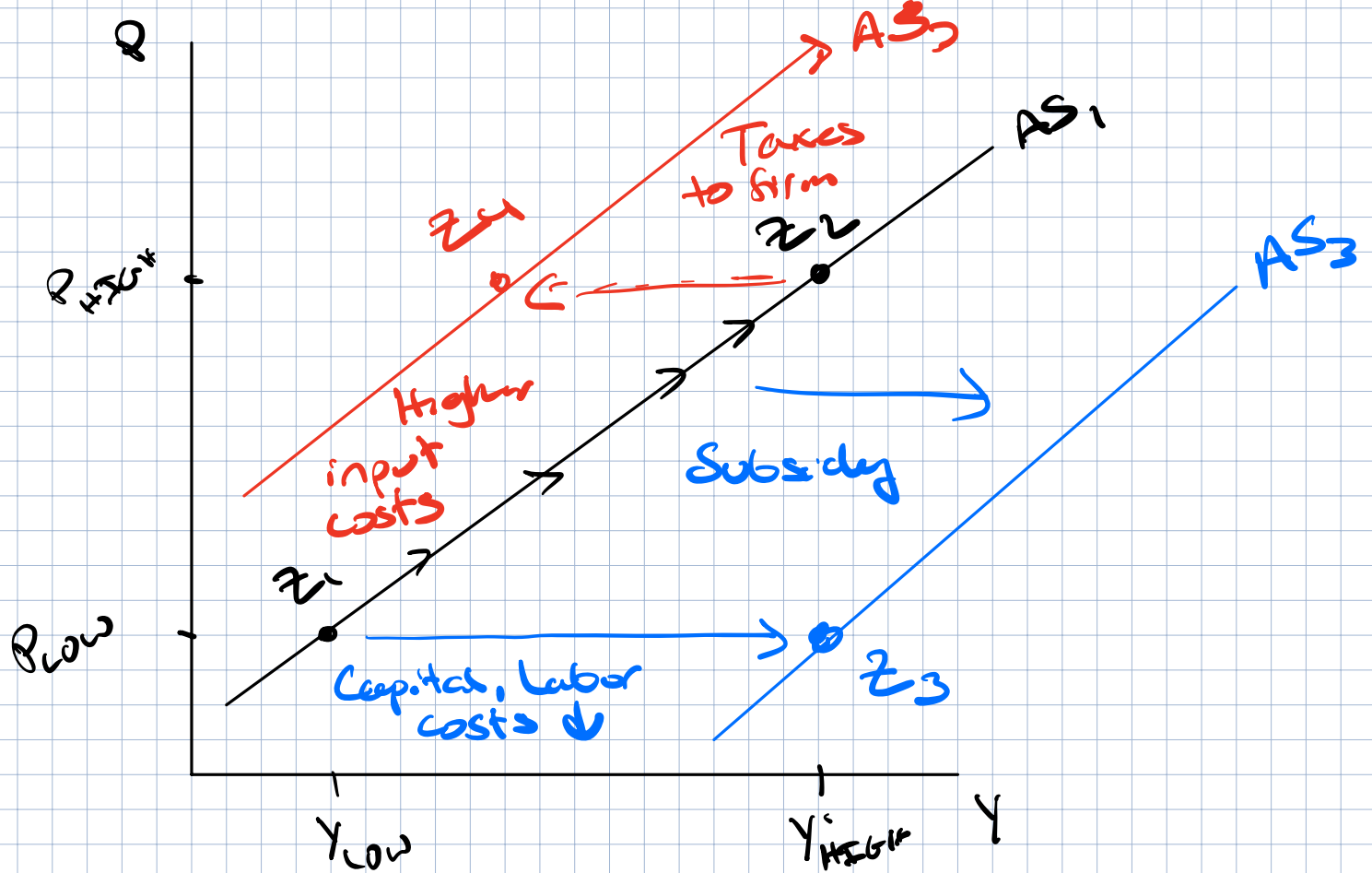
Aggregate Supply (AS):

How much will firms change production (Y) in response to price changes?

Econ 1 / Chapter 2: Quantity Supplied

Amount a firm is willing & able to produce / sell at a given price

AS: Plot of relationship between general level of prices and output (Y)



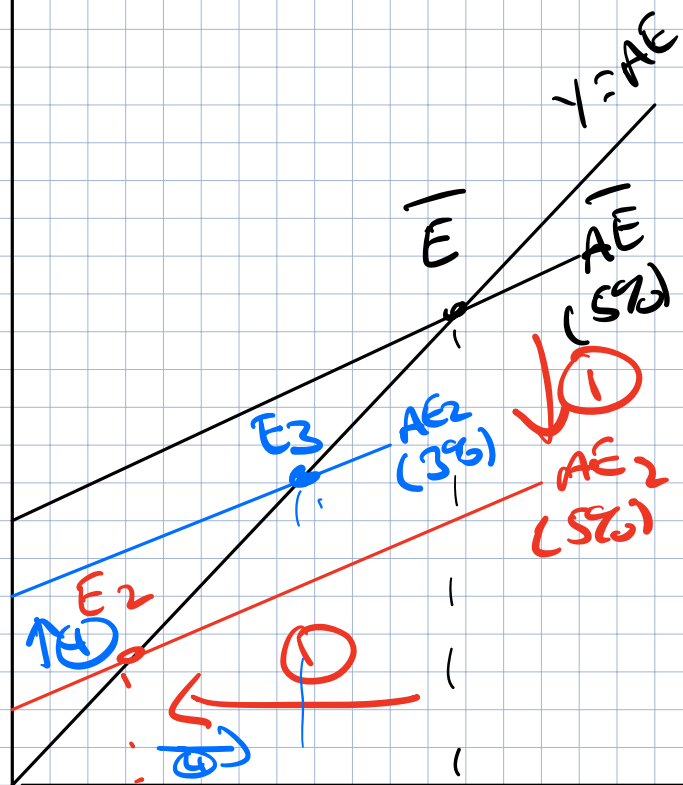
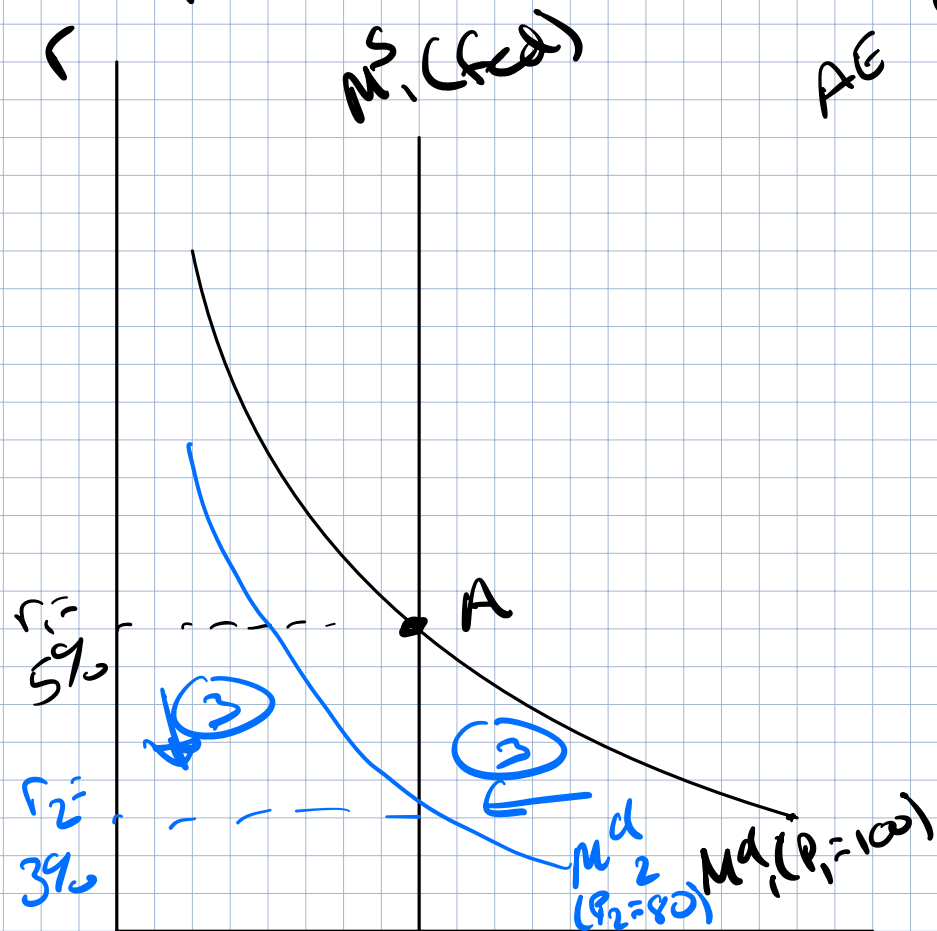
In order to move from z_1 to z_2

- Increase in prices → incentivize more Y
- Increase in output → requires a higher level of prices

Shifts in AS?

- Cost of Inputs: Labor (wages), Capital
- Regulations, subsidies, tariffs
- Expectations
- Technology → more Y with the same machine
- Weather

Complete Macroeconomic Equilibrium



$M^s = 1T$
 $r_1 = 5\%$
 $\bar{Y}_1 = 10,000$
 $P_1 = 100$

Firms must be willing to produce $\bar{Y} = 10,000$ at $P_1 = 100$
 No pressure in any market

Housing market crash? AD!

1.) $\downarrow$ wealth, $\downarrow AC, IP, \downarrow AE$

2.) Shift AD left, include $P_1 \rightarrow Y_2$

3) Prices $\downarrow \rightarrow M^d \downarrow \rightarrow r \downarrow$

4) $\uparrow AE \rightarrow \uparrow Y \rightarrow$ Equilibrium

